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BEYOND CSR AND ESG:

CORPORATE DHARMA RĀJYAM

AND THE COMPLETION OF GOVERNANCE ARCHITECTURE



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Dharmo viśvasya jagataḥ pratiṣṭhā
Dharma is the foundation of the entire universe

Abstract

This paper addresses a structural limitation in contemporary corporate governance, where expanding regulatory frameworks, particularly CSR and ESG, have increased disclosure and compliance without adequately aligning authority, incentives, and fiduciary restraint. It builds on the paradigm articulated by Dr. Mrityunjay Athreya to propose Corporate Dharma Rājyam (CDR) as a voluntary, board-anchored governance architecture. CDR integrates organisational capability with ethical restraint (Dharma), treating governance not merely as compliance, but as the disciplined exercise of power under fiduciary responsibility.

The framework introduces operational instruments, including a Values and Capability Charter, board-level oversight mechanisms, institutional self-audit, and capability-oriented CSR deployment. It also proposes a scalable leadership formation model anchored in institutional training and practitioner cohorts. Designed for compatibility with existing regulatory systems, CDR offers a pathway to strengthen the effectiveness of CSR and ESG while enhancing long-term institutional trust, resilience, and productive capacity.

Corporate governance today faces a structural inflection point. Regulatory density has increased, disclosure frameworks have expanded, and board compliance mechanisms have matured in form. Yet institutional failures persist; not for want of regulation, but because authority, incentives, and restraint remain misaligned.

ESG fatigue is visible across markets as disclosure obligations expand faster than behavioural change. Regulatory expectations intensify even as institutional trust erodes. Reputational volatility now travels at digital speed. Geopolitical fragmentation and supply-chain realignments have elevated strategic risk directly to board level. In this compressed environment, compliance proliferation cannot substitute for governance integration.

India's governance architecture has matured substantially through statutory CSR, ESG disclosures, and board-level oversight. Yet the substance of governance, viz. ethical judgment, leadership culture, and long-term productive capability, often lags behind regulatory intent. CSR is frequently discharged as post-profit expenditure. ESG risks becoming metric-heavy but outcome-light.

This paper builds on Padma Bhushan Dr. Mrityunjay Athreya's articulation of the Rāma Rājya Paradigm of Corporate Governance¹ to propose Corporate Dharma Rājyam (CDR): a voluntary, board-anchored governance architecture that strengthens the original intent of CSR and ESG by embedding Dharma—fiduciary restraint, hierarchy of duty, and capability creation—within core corporate decision-making.

CDR is proposed as a framework to complete and deepen the architecture of Good Corporate Governance by integrating capability, culture, and fiduciary restraint into its core. It does not replace existing law. It integrates culture, capability, and restraint into the structure of governance itself.

¹ Athreya, M.B. (2020). *Rāma Rājya Paradigm of Corporate Governance*. Presentation at the seminar 'Lessons from Rāma Rājya for Good Corporate Governance,' organised as part of the Tattvāloka 'Onward March to Rāma Rājya' campaign, World Trade Centre, Mumbai. Available at: <https://youtu.be/-9Ft2JnwIL0>

1. Why CSR Requires a Structural and Capability-Oriented Correction

The Companies Act's CSR mandate was a pioneering attempt to institutionalise social responsibility. Experience over a decade reveals four structural limitations:

1. **Post-profit orientation:** Responsibility is treated as expenditure rather than as a principle shaping how profits are earned.
2. **Duplication of public finance:** CSR spending often overlaps with welfare functions already funded through taxation and cesses.
3. **Capability deficit:** Welfare-focused CSR does little to address deficits in technology depth, skills, production ecosystems, and R&D capacity.
4. **Leadership and culture gap:** Compliance mechanisms cannot substitute for ethical judgment, behaviour, and boardroom culture.

These challenges indicate not failure of intent, but misalignment of instruments. **CDR** addresses this by repositioning responsibility as an organising principle of enterprise strategy rather than a downstream obligation.

2. From Rāma Rājyam to Dharma Rājyam: Governance as Bounded Authority

2.1. Dharma as Governance Constraint

In the *Vālmīki Rāmāyaṇa*, Rāma is described as '*Rāmo vighrahavān dharmah*,' Rāma is Dharma embodied. The expression does not deify governance; it defines it. Rāma is not presented as ruler first and moral agent second. His legitimacy flows from his embodiment of Dharma: principled restraint, fidelity to duty, a clear hierarchy of obligations to law and public trust, and a willingness to bear personal cost in preserving institutional order.

Rāma Rājyam, therefore, is not a personality-based ideal. It is a structural condition in which power operates under Dharma. Because Rāma is not merely virtuous but Dharma embodied, *Rāma Rājyam* is conceptually identical

to *Dharma Rājyam*. The legitimacy of rule arises not from personality but from the prior authority of Dharma.

The sovereign is legitimate because he is bounded. Authority is durable because it is restrained. Governance is stable only when power is subordinated to an order that precedes it.

2.2. The Athreya Doctrine Of Sustained Success

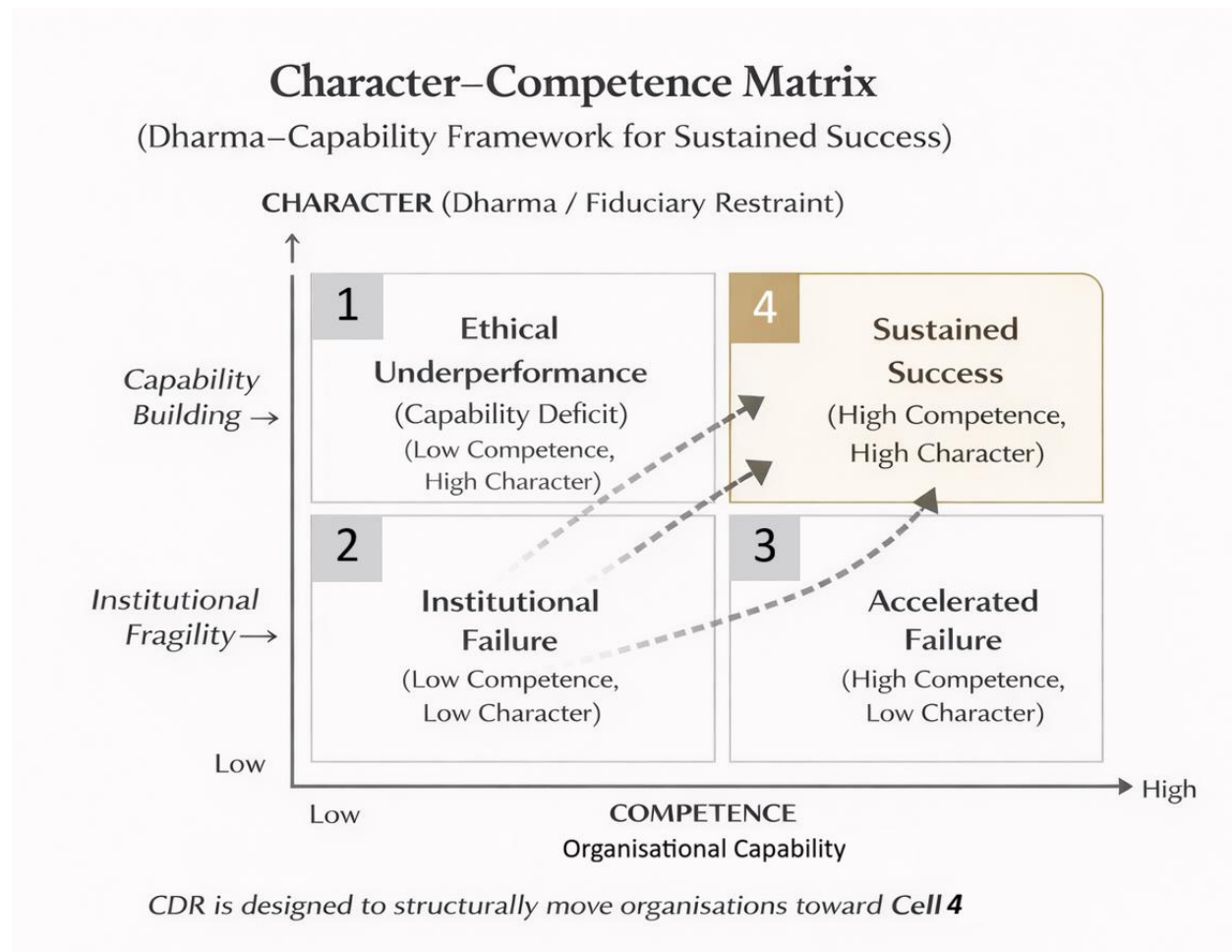
This integration of competence and character can be formalised in what may be termed the **Athreya Doctrine of Sustained Success**:

“Sustained success — individual or institutional — rests on the integration of competence and character; is verified externally through trust, reputation, and institutional outcomes; and must be supported by governance systems that restrain short-term temptation and reward long-term stewardship.”

This doctrine, articulated by Dr. Mrityunjay Athreya in his inaugural Tattvāloka ‘Onward March to Rāma Rājya’ Distinguished Lecture², provides the normative and behavioural foundation for Corporate Dharma Rājyam.

² Athreya, M. B.(2018). *Onward March to Rāma Rājya*. Tattvaloka Distinguished Lecture Series. Available at: https://www.youtube.com/playlist?list=PLs8LRdUXZsHlIDuejGOdvYJkePw_nFbAf

The doctrine posits that governance outcomes are determined by the interaction of two variables: organisational capability (competence) and fiduciary restraint (character, or Dharma).



High competence without corresponding restraint produces accelerated failure: organisations that scale rapidly but accumulate behavioural and governance risks that eventually manifest as crisis. Conversely, character without competence results in ethical underperformance, where intent is not matched by execution capacity. Where both are absent, institutional failure follows.

Sustained success arises only when competence is disciplined by character. In this quadrant, organisations combine productive capability with fiduciary restraint, enabling long-term value creation, stakeholder trust, and institutional resilience.

CDR is designed to move firms structurally toward this quadrant by embedding both capability creation and behavioural restraint within the architecture of governance.

3. Corporate Dharma Rājyam: Translating Principle into Enterprise Governance

If *Rāma Rājyam* denotes governance under Dharma, then **CDR** denotes enterprise under Dharma.

The firm, like the state, concentrates power — capital allocation, employment decisions, technological direction, ecological impact. When such power operates without an organising principle beyond compliance and profit, it risks short-termism, cultural erosion, and legitimacy failure.

CDR therefore re-articulates enterprise as a custodial institution. Authority within the firm is legitimate not merely because it is legal, but because it is exercised in alignment with a higher-order fiduciary responsibility — to stakeholders, to capability creation, and to long-term institutional trust.

4. Dharma as a Decidable Governance Principle

In contemporary discourse, *Dharma* is often misunderstood as subjective, cultural, or purely personal. Dr. Mrityunjay Athreya's formulation, articulated in his inaugural 'Onward March to Rāma Rājyam' distinguished lecture, clarifies Dharma as a functional, decidable, and hierarchical principle of governance.

Dharma operates at multiple, nested levels — *vyakti* (individual), *saṅghaṭana* (organisation), *rāṣṭra* (nation), and *jagat* (global order). Where duties conflict (*dharma-saṅkṣa*), resolution is not arbitrary: the higher, more encompassing Dharma prevails. This principle provides boards and leaders with a clear heuristic for resolving stakeholder conflicts without recourse to ad hoc discretion.

Importantly, Dharma is not left to intuition alone. India's civilisational corpus, including *Dharmaśāstra* traditions and texts such as *Vidura Nīti*, constitutes an accumulated jurisprudence of ethical decision-making. In **CDR**, Dharma is therefore treated not as belief, but as responsible custodianship: that which upholds institutional trust, long-term capability, and societal legitimacy.

Dr. Athreya's Rāma Rājya Paradigm draws from the *Rāmāyaṇa* and India's moral traditions to articulate governance in functional, institutionally usable terms:

- **Dharma First:** Decisions are evaluated by their contribution to transparency, fairness, and long-term social sustainability.
- **Purpose Before Profit:** Profit is necessary, but serves as a measure of how effectively purpose is fulfilled.
- **Fiduciary Stewardship:** Leaders act as *pradhān sevak* — chief stewards accountable to enterprise purpose and public interest.
- **Higher-Dharma Resolution:** In stakeholder conflicts, priority is accorded to long-term societal and systemic welfare.
- **Shreṣṭha Dharma and Karma Yoga:** Leadership conduct sets behavioural norms; employees evolve from transactional roles to purpose-driven participation.

In **CDR**, Dharma is not theological doctrine but a functional fiduciary principle, that which upholds trust, capability, and long-term institutional legitimacy.

5. Stakeholder Dharma Hierarchy: From Principle to Decision Rule

A central implication of Dharma as a hierarchical and conflict-resolving principle is that stakeholder responsibilities within the firm cannot remain undifferentiated. Contemporary governance frameworks often treat stakeholders as a flat category, leaving boards without clear guidance when obligations conflict.

CDR addresses this by articulating an ordered Stakeholder Dharma Hierarchy, enabling structured resolution of competing claims in conditions of *dharma-saṅkaṭa* (conflict of duties).

5.1. External Stakeholders (Primary Order of Responsibility)

External stakeholders constitute the first order because they represent the firm's interface with the wider economic and social system, and are most directly affected by its conduct.

- **Customers (First among equals):**

Product integrity, safety, fairness in pricing, and reliability of service form the foundational obligation of enterprise. Without customer trust, neither legitimacy nor continuity is sustainable.

- **Lenders and Creditors:**

Prudential financial conduct, transparency, and respect for contractual obligations ensure systemic stability and capital access.

- **Shareholders:**

Protection of invested capital and fair returns remain essential, but are situated within the broader obligation to ensure that profits are earned through *Dhārmic* means.

5.2. Internal Stakeholders (Institutional Integrity and Capability)

Internal stakeholders sustain the productive and organisational capacity of the firm.

- **Workers and Employees:**

Fair wages, dignity of work, safety, and opportunities for skill development.

- **Managers and Middle Leadership:**

Accountability for execution, alignment with organisational purpose, and ethical conduct in decision-making.

- **Top Management:**

Stewardship responsibility for long-term direction, culture, and institutional integrity.

5.3. Ecosystem Partners (Extended Enterprise Responsibility)

Modern firms operate within distributed production and service networks. Dharma extends to these relationships.

- **Suppliers and Vendors:**

Fair contracting, timely payments, and capability development.

- **Distributors and Service Networks:**

Integrity in market conduct and customer interface.

- **Other Strategic Partners:**

Any additional stakeholders materially affected by enterprise decisions, depending on industry context.

5.4. Resolving Stakeholder Conflicts

In situations of conflict, CDR applies the principle of higher-order Dharma:

- Obligations that preserve **systemic trust and long-term capability** take precedence over short-term gains.
- Duties affecting broader stakeholder sets override narrower interests.
- Actions that sustain institutional legitimacy are prioritised over those that maximise immediate returns.

This hierarchy does not eliminate managerial judgment; it disciplines it. It provides boards with a structured heuristic to navigate complex trade-offs without resorting to ad hoc or purely discretionary decisions.

In this sense, the Stakeholder Dharma Hierarchy operationalises Dharma as a **decidable governance principle**, transforming ethical intent into actionable boardroom logic.

6. Behavioural Roots of Governance Breakdown

Dr. Athreya locates governance failure not primarily in regulation gaps but in predictable human weaknesses that surface as authority, resources, and discretion increase. These include haste for advancement, excessive *rajas* (unrestrained aggression), *lobha* (greed), *kāma* spillover (unchecked desire), *ahankāra* (ego and feedback blindness), and neglect of embodied and relational responsibilities.

When compounded by short-term incentive distortion, these tendencies produce familiar failure patterns: talent flight, reputational volatility, stakeholder distrust, and in extreme cases, institutional collapse.

Behavioural imbalance, therefore, is not a philosophical concern. It is a governance risk variable.

CDR differentiates itself from conventional ESG frameworks by treating leadership formation and behavioural restraint as structural safeguards against systemic failure.

Modern compliance regimes, while necessary, are structurally limited in addressing these behavioural risks. Performance-at-any-cost cultures, short-term incentives, and weak cultural controls allow such tendencies to accumulate until they manifest as reputational collapse, ethical failure, or institutional fragility.

CDR responds to this diagnosis by treating governance not merely as rule enforcement, but as behavioural risk management over long horizons. Its instruments are designed to restrain short-term temptation, channel ambition constructively, and institutionalise ethical judgment rather than relying on individual virtue alone.

These behavioural distortions are not abstract moral categories. They are observable governance risks.

Unchecked *lobha* manifests in accounting manipulation, earnings smoothing, and incentive gaming. Dominant *rajas* expresses itself through overleveraged acquisitions, strategic overreach, and imprudent risk accumulation. Institutionalised *ahankāra* correlates with board opacity, whistle-blower suppression, and regulatory breach.

At scale, these patterns produce recurring failure signatures:

- Fraud and financial misstatement
- Strategic over-expansion and capital destruction
- Regulatory sanction and compliance breakdown
- Senior talent attrition and cultural corrosion
- Reputational collapse and trust erosion

Behavioural imbalance precedes structural failure.

The question, therefore, is not how to expand reporting, but how to redesign governance incentives so that restraint and capability become structurally rewarded.

7. Operationalising Dharma in Corporate Governance

CDR translates the Paradigm into five concrete governance instruments that boards and regulators can recognise and adopt.

7.1. Values & Capability Charter (Dharma Charter)

A board-approved charter articulating:

- Enterprise purpose and public-interest orientation
- Stewardship principles guiding investment, dividend, remuneration, and sustainability decisions
- Explicit commitments to long-term capability creation

7.2. Board-Level Values & Capability Committee (Optional)

A standing or combined committee overseeing:

- Alignment between strategy, capability investment, and declared values
- Leadership conduct and culture risks
- Integrity of CSR and ESG deployment

Unlike shareholder primacy models that prioritise capital returns, or ESG frameworks that expand disclosure without recalibrating incentive architecture, CDR embeds fiduciary restraint and productive capability creation into the structure of decision-making itself.

7.3. Institutional Self-Audit and Governance Calibration

CDR rests on the principle that institutional self-audit must precede and reduce reliance on external regulatory intervention. Durable governance arises from internal discipline, not post-facto enforcement.

CDR requires periodic structural introspection at the highest level of authority. The Annual Corporate Structural Review is not an expanded compliance exercise. It is a governance audit of proportionality, restraint, and stewardship.

The review should disclose, at minimum:

- CEO-to-median employee pay ratio
- CEO-to-second-highest-paid executive compensation ratio
- Fixed versus variable compensation architecture
- Political contributions and lobbying expenditure
- Significant regulatory penalties or unresolved legal exposure
- Material ESG deviations from declared commitments
- Board attendance and voting records
- Related-party transactions involving directors or key executives

These disclosures are not symbolic transparency measures. They are structural diagnostics. They reveal whether authority remains proportionate, whether incentives align with declared values, and whether stewardship obligations are being upheld in practice.

The purpose is not reputational signalling. It is institutional self-correction.

When disproportion, opacity, or asymmetry appears at the apex, corrective mechanisms must be triggered before external intervention forces them. CDR is preventive, not reactive. It recognises that legitimacy erodes quietly before it collapses visibly.

The Review therefore functions as a discipline of power — ensuring that growth does not outpace restraint, and capability does not outrun accountability.

7.4. CDR-Aligned CSR Utilisation (Pilot-Based)

Subject to regulatory permission and guidance, companies may allocate part of CSR expenditure toward certified capability-building projects — skills, technology, production ecosystems — either directly or via a transparent pooled mechanism. This preserves CSR intent while enhancing developmental impact.

7.5. Integrated Reporting and Assurance

A CDR-balanced scorecard integrating:

- Financial performance
- Capability indicators
- Governance and leadership conduct

- Environmental metrics

Third-party assurance mechanisms strengthen credibility.

8. Regulatory Fit and Adoption Pathways

CDR is designed for administrative feasibility:

- Adoption through MCA circulars, guidance notes, and voluntary frameworks
- SEBI LODR disclosure extensions and ESG guidance
- Pilot programmes and regulatory sandboxes

No immediate statutory amendment is required. CDR strengthens, rather than challenges, existing law.

9. From Principle to Practice: Institutionalising Leadership Formation

Governance architecture cannot be sustained by rules alone. It requires leaders capable of exercising judgment under complexity, resolving conflicting duties, and maintaining restraint under conditions of power. Such capacities cannot be developed through compliance training alone; they require structured processes of behavioural formation.

CDR therefore recognises the need for institutional mechanisms that can support leadership development at scale while preserving depth and rigour.

9.1. A Scalable Model for Leadership Formation

To ensure feasibility and adoption across diverse organisational contexts, CDR proposes a tiered approach to leadership development anchored in institutional formation and diffused through practitioner networks.

a. Institutional Anchoring and Certification

Specialised institutions serve as custodians of doctrine and standards, providing:

- Curriculum design and doctrinal clarity

- Certification frameworks
- Advanced training for practitioners
- Periodic recalibration of governance frameworks

Nāṭyaśāstra Gurukulam anchors this institutional model, focusing on embodied and experiential approaches to leadership formation grounded in India's knowledge traditions.

b. Cohort-Based Leadership Formation ('Yatri' Model)

Sustained transformation requires more than episodic training. CDR envisions the development of cohorts of trained practitioners, referred to as *Yatris*, who undergo structured, progressive learning journeys.

These cohorts:

- Internalise principles of Dharma-aligned decision-making
- Serve as carriers of institutional culture
- Enable diffusion of governance practices across organisational layers

This layer constitutes the primary transmission mechanism of CDR and is anchored in institutionally supported training pathways. This model is being developed and institutionalised through platforms such as Nāṭyaśāstra Gurukulam.

c. Internal Capability Development (Train-the-Trainer Model)

To enable scale within organisations, institutionally trained practitioners support the development of internal trainers and facilitators who can embed CDR principles within existing leadership systems.

This approach enables scalability through organisation-embedded capability, anchored in trained practitioner cohorts.

9.2. Mapping Institutional Capabilities to CDR Requirements

Institutional partners may support CDR implementation through:

- **Leadership Immersion Programmes:** Deep engagement with governance dilemmas and stewardship responsibilities
- **Board-Level Decision Labs:** Simulated environments for resolving *dharma-saṅkaṭa* in strategic contexts
- **Cultural Diagnostics and Design:** Translating Values & Capability Charters into lived organisational practices
- **Ongoing Coaching and Reinforcement:** Supporting behavioural consistency over time

9.3. Balancing Depth with Scalability

CDR adopts a hybrid model:

- **Practitioner-led delivery** ensures experiential depth and internalisation
- **Scholarly validation** ensures conceptual rigour and institutional credibility

This balance is essential to avoid two common failures:

- superficial adoption without behavioural change
- conceptual depth without organisational scalability

9.4. Leadership Formation as Governance Infrastructure

Within CDR, leadership development is not an auxiliary function. It is a core component of governance infrastructure.

Just as financial controls safeguard capital, and regulatory compliance safeguards legality, structured leadership formation safeguards:

- ethical judgment
- institutional restraint
- long-term trust

Without such mechanisms, governance architectures risk remaining formally robust but behaviourally fragile.

10. Measurement, Certification, and Pilots

CDR employs measurable indicators:

- **Cultural KPIs:** Trust indices, whistleblower resolution
- **Capability KPIs:** R&D spend, supplier upgrading, skill depth
- **Stakeholder KPIs:** Minority shareholder outcomes, workforce stability

Pilot programmes enable evidence-based evaluation and iterative refinement.

11. The Strategic Case for Corporate Dharma Rājyam

CDR is both a normative governance philosophy and a policy-ready institutional framework. It translates Dr. Athreya's Paradigm into instruments boards and regulators can adopt without legislative disruption. By restoring attention to capability and leadership culture, CDR strengthens the effectiveness of CSR and ESG while preserving regulatory continuity.

CDR offers boards a structured pathway to align compliance, capability, and character within a single governance architecture. In an environment of rising regulatory pressure and declining institutional trust, governance systems that fail to integrate restraint and capability will increasingly face external correction. Incremental adoption through pilots and guidance offers a practical path forward for India's corporate governance evolution.
